

on marketing and advertising. There's been no looking back since, as growth has been exponential. It now boasts of 50 YouTube channels, 16 online test preparation verticals, and around 100 offline centres.

Built to Scale

The first time they launched their app, it crashed because of the number of concurrent users. Maheshwari says it took them over 10–15 days to scale the technology to meet the growing demand.

“What I find endearing is that the students stayed patient with us. We had promised live lectures from the very first day, but we could not deliver because we had not anticipated that the response would be so huge, but they stayed with us; they made do with recorded lectures for the first 10 days while we figured out scaling the technology,” Maheshwari notes.

One crucial factor behind students' affinity with Physics Wallah in its early days and even now has been the affordable prices offered by the edtech company.

46 | “Our courses start from between ₹3,000 and ₹4,000. When we started, students were unable to believe that someone could help them prepare for NEET (National Eligibility cum Entrance Test) or JEE at such low prices. If you compare our rates with those of our competition, you will see they charge anywhere between ₹40,000 to ₹1 lakh for the same product category. We could have done the same or charged relatively less than them, but me and Prateek always wanted to create for the 80 per cent people who probably are not able to perform well in the exams just because they cannot afford the courses,” explains Pandey, 31, who dropped out of an engineering course. NEET is a pre-medical entrance test, while JEE is for entrance to undergraduate engineering courses.

Path to Profitability

Physics Wallah's biggest strength has been its ability to charge disproportionately lesser than its peers, thanks primarily to its nearly insignificant customer acquisition cost (CAC). “We build communities over social media platforms like YouTube, Instagram, Facebook, etc., and then we monetise them through our app. We have not found the need to spend exorbitant amounts on marketing and advertising,” says 33-year-old Maheshwari, describing the company's model.

That low cost is the differentiator, explains Avanti-ka Tomar, a Partner at EY-Parthenon, Ernst & Young's global strategy consulting arm. “Since their prices are so low, they are able to get massive volumes, which is reflected in the revenues,” she says.

Per data from analytics platform similarweb.com, the Physics Wallah Android app ranks No. 1 in India

WHAT IT GOT RIGHT

- ⊕ ITS BIGGEST STRENGTH HAS BEEN ITS RELATIVELY LOW CUSTOMER ACQUISITION COST (CAC)
- ⊕ IT HAS KEPT COSTS DOWN BECAUSE IT SPENDS RELATIVELY LESSER ON MARKETING AND ADVERTISING
- ⊕ THE LOW CAC HAS ALLOWED IT TO CHARGE DISPROPORTIONATELY LOWER PRICES THAN RIVALS
- ⊕ PHYSICS WALLAH'S MAJOR REVENUE DRIVER IS ITS NEET/JEE VERTICAL

BUCKING THE TREND

Unlike its peers, all of Physics Wallah's acquisitions and joint ventures were profitable in FY23

Acquired firm	Description	FY23 Revenue	FY23 Profit
Utkarsh Classes*	Government exam test prep, based in Jodhpur	191.3	38.5
Xylem Learning	JEE/NEET test prep, based in Kerala	108.7	19.4
OnlyIAS	UPSC coaching institute	9.7	4.7
Bothra Classes	Gujarat-based JEE/NEET test prep	19.7	4.1
Knowledge Planet	UAE-based edtech	17	3.5
FreeCo	Doubt-solving platform	7.2	3.1
iNeuron	Upskilling platform	34	3
PrepOnline, Altis Vortex*	Test prep and e-commerce	10	1.2
Etoos	Kota-based JEE/NEET test prep	8.8	0.5

*JV; FIGURES IN ₹ CRORE; **SOURCE** PHYSICS WALLAH

GRAPHICS BY **RAHUL SHARMA**

in terms of active users and current installations, far ahead of its peers like Unacademy, which sits at the sixth spot, and Byju's that comes in at 11th. It ranks ahead of its peers, even when it comes to iOS users.

The founders also credit their hiring strategy for their success. “We don't look for degrees while hiring. We look at the problem at hand and whether the person would be able to solve it,” Pandey said.

To strengthen its position in the south, the company acquired a 50 per cent stake in Xylem Learning, a Kozhikode-based NEET/JEE test prep platform, in June. It has also been making acquisitions to enter new markets and to bring star teachers into its fold. Where its rivals pump millions of dollars to keep acquisitions afloat, all of Physics Wallah's buys were profitable as of FY23.

In just three years, the company's revenue has gone up over 30 times, and its profits have shot up over 11 times. It has made more than nine acquisitions and is valued at \$1.1 billion.